

Liberty STEM Charter School

5-Year Financial Overview for Board Review

Prepared May 14, 2026

Built from assumptions

 **Financial Outlook: The school's financial outlook is strong.**

7 health dimensions are in good standing, 1 should be monitored.

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This summary is generated from the school's financial model for board discussion purposes.

Board Commentary

Trustees, this update is a snapshot of where Liberty STEM Charter School stands financially as of today, drawn directly from the canonical model that the dashboard and lender packet share. We are planning for 200 students in Year 1, growing to 600 by Year 5 within a building capacity of 600 seats, holding a 88% year-over-year retention assumption. Growth funds the mission; the rest of this commentary frames how the financial picture supports it.

The model keeps cash positive across all five years, and operating reserves reach roughly 78 months by Year 5. Operating break-even is reached in Year 1.

On the same basis a lender will use, Year 1 debt service coverage is 30.65x. The packet currently reads as: Almost there - a few targeted edits will tighten the story. Your model has real promise, and there are just a few areas to strengthen. The recommendations above will help you build a more resilient financial plan, and every improvement makes your projections more achievable.

Three matters merit board attention this period. Let's back the enrollment ramp with evidence. Suggested response: Back every enrollment target with documented demand - signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.. Let's tie new hires to enrollment milestones. Suggested response: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps..

Strong Year 5 net income No urgent board ask this period; the team will continue executing the plan.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Financial Outlook at a Glance

 **Financial Outlook: The school's financial outlook is strong.**

 **Health:** 7 dimensions are in good standing, 1 should be monitored.

 **Cash Position: Cash remains positive through the full 5-year projection**

Founder's Narrative

Flagged Assumptions

[Warning] 50% growth (Year 1 '12)

Assumptions Confidence

PROJECTED **Needs Support** 0% weighted evidence · 0 of 22 tagged
This does not mean your plan is weak. It means this part needs more clarity.

Each major assumption below is tagged by the founder with the source they leaned on. Higher-confidence sources (actuals, signed agreements, written quotes) are stronger evidence than research benchmarks or estimates.

0 of 22 assumptions tagged yet — the founder has not anchored any inputs to evidence. Posture defaults to "Needs Support" until at least some keys are tagged.

Financial Overview

Liberty STEM Charter School projects \$18,125,509 in Year 5 revenue with a 69.3% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story. Cash flow remains positive over the full 5-year period.

[~] Lender Readiness: Needs Work

[~] Biggest Strength: Strong Year 5 net income

[~] Biggest Risk: Public funding is the primary revenue source — model disbursement timing carefully and maintain cash reserves for funding gaps

[~] Cash Runway: 60+ months

School Overview

Liberty STEM Charter School is a Startup / Pre-Opening Charter School organized as a 501(c)(3) Nonprofit with a Public Funded (Charter) funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at \$12.9M (70.0% margin).

• Breakeven enrollment

Breakeven enrollment is 80 students (150% above Year 1 enrollment).

• Accounting basis

All projections are prepared on an accrual basis; the school currently keeps books on a undetermined basis.

[+] Revenue per Student (Year 1): \$24,375

[+] Cost per Student (Year 1): \$14,082

[+] Staffing Cost (% of Revenue): 35.3%

[+] Operating Cost (% of Revenue): 22.2%

[+] Net margin (Year 1): 42.2%

[+] Net margin (Year 5): 69.3%

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	200	\$5.8M	\$2.9M	\$2.9M	49.8%
Year 2	300	\$8.8M	\$3.9M	\$4.9M	55.8%
Year 3	400	\$11.9M	\$4.7M	\$7.3M	60.9%
Year 4	500	\$15.1M	\$5.2M	\$10.0M	66.0%
Year 5	600	\$18.5M	\$5.5M	\$12.9M	70.0%

Staffing Plan

Staffing costs are \$1.7M in Year 1, representing 29.4% of revenue. This leaves healthy room for other operating costs.

[+] Staffing % of Revenue: 35.3%

Supporting Assumptions

Executive Director **\$110,000, 1 FTE**
Principal **\$90,000, 1 FTE**
Dean of Students **\$75,000, 1 FTE**
STEM Teachers **\$55,000, 8 FTE**
General Teachers **\$48,000, 4 FTE**
Special Education Staff **\$52,000, 2 FTE**
Office & Finance Staff **\$45,000, 3 FTE**
Custodial / Maintenance **\$35,000, 2 FTE**

Financial Health Assessment

Across 8 health dimensions: 7 healthy, 1 on watch, 0 at risk.

[+] viability: Healthy
[+] liquidity: Healthy
[+] staffing burden: Healthy
[+] facility burden: Healthy
[+] debt affordability: Healthy
[-] revenue concentration: Watch closely

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 35% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 5% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 30.64x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Watch closely	95% of revenue comes from public funding. This is typical for charter schools, but disbursement timing and policy changes can create cash flow gaps.
Days Cash	Healthy	267 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.
Reserve Strength	Healthy	77.7 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

[+] Revenue per Student (Year 1): \$24,375
[+] Cost per Student (Year 1): \$14,082
[+] Staffing Cost (% of Revenue): 35.3%
[+] Operating Cost (% of Revenue): 22.2%
[+] Net margin (Year 1): 42.2%
[+] Net margin (Year 5): 69.3%

What to Watch

The board should be aware of 2 key areas:

1. Let's back the enrollment ramp with evidence

Enrollment is the engine of every revenue and staffing assumption downstream. The more evidence we can attach to each year's number, the more confident the rest of the model becomes.

Action: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion. Next step: Open Step 4: Enrollment and either soften the steepest year to a 15-25% jump, or paste your waitlist count, signed letters of intent, and recruitment plan into the Story step so reviewers see the evidence.

2. Let's tie new hires to enrollment milestones

Hiring slightly behind enrollment, rather than ahead of it, keeps fixed costs aligned with the revenue actually arriving. It also gives you a clean answer to 'what triggers each new role'.

Action: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps. Next step: Open Step 6: Staffing and tie each new role's start date to a specific enrollment milestone (e.g. 'add when Y2 enrollment hits 60'), or push the role into a later year.

Recommended Next Steps

1. Charter Funding Timing & Cash Flow Risk

94.7% of revenue comes from public per-pupil funding — this is enrollment-driven income and a strong foundation. The primary risk is disbursement timing: charter funding follows a state-defined schedule, so ensure you have cash reserves or a line of credit to cover gaps between enrollment counts and payment receipt.

This strengthens the model and reduces future risk.

2. Stress-Test Your Enrollment Assumptions

Model what happens if enrollment comes in 20% below plan. Understanding your downside scenario helps you prepare contingency plans.

This strengthens the model and reduces future risk.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

This strengthens the model and reduces future risk.

Decision History

No decisions have been tracked with an outcome yet. As the team marks saved scenarios as Pursued, Declined, or On hold, those outcomes (and any retrospective notes) will appear here so reviewers can see what actually happened versus what was modeled.

Once decisions are saved with a Pursued / Declined / On hold outcome inside the planner, they will be summarized here for the board.

Scenario Comparison

The model includes 3 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (25% fewer students)	\$13.9M	\$9.1M	65.5%
Base Case	\$18.5M	\$12.9M	70.0%
State funding cut (-10% per pupil)	\$16.6M	\$11.1M	66.7%

Grant Version

Thank you for considering Liberty STEM Charter School. This narrative is drawn directly from the same canonical financial model the board and any lender would see, so the numbers that follow tie back line for line to our budget. Over the grant horizon we are planning for 200 students in Year 1, growing to 600 by Year 5 while holding a 88% year-over-year retention assumption. Each additional seat funded by this grant translates directly into students served against that mission.

Philanthropic and other donor-dependent support currently represents about 4% of our Year 1 revenue mix. Grant funding is what bridges the gap between our enrollment ramp and operating sustainability - without it the model would not reach the trajectory described above. The plan does not assume any single funder closes that gap on their own; instead, it relies on a portfolio of grants and earned revenue that grows year over year.

The model holds positive operating cash across all five years, with operating reserves reaching roughly 78 months by Year 5. Operating break-even is reached in Year 1, which is the point at which earned revenue alone would cover operating expenses.

Two stewardship matters we want to surface up front for our funders. Let's back the enrollment ramp with evidence. Our planned response is to Back every enrollment target with documented demand - signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.. Let's tie new hires to enrollment milestones. Our planned response is to Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps..

Strong Year 5 net income Grant funding will be applied directly to enrollment ramp expenses described in the budget. We are happy to walk through any line of the model in detail with the funder.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Standard Lender Stress Tests

Five fixed downside scenarios re-run against the canonical model. Each row shows the worst-year DSCR, ending-cash trough, and Year-1 net-income delta vs base. Identical figures appear on the founder dashboard and in the lender pro-forma workbook.

Base case: **Min DSCR 30.84x** · **Min ending cash \$2,272,877** · **Runway 60.0 mo**

Enrollment -10%

All five enrollment years scaled down by 10% — the standard lender enrollment-miss sensitivity.

Min DSCR: 26.32x · **Min ending cash: \$1,958,775** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$314,102

Enrollment -20%

All five enrollment years scaled down by 20% — the stretch downside lenders use to confirm the school can survive a soft-launch.

Min DSCR: 21.74x · **Min ending cash: \$1,640,891** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$631,986

ESA / Public Funding Delayed 3 Months

Year-1 ESA, school-choice, and public-funding receipts reduced by 25% ("H 3 months delayed) to simulate a slow first disbursement.

Min DSCR: 14.23x · **Min ending cash: \$1,118,711** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$1,154,167

Rent Shock +25%

Occupancy & facility expense rows escalated by 25% — covers a lease renewal, market-rate reset, or unbudgeted CAM/utilities surprise.

Min DSCR: 30.05x · **Min ending cash: \$2,217,877** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$55,000

Founder Comp Normalized to Market

Founder compensation re-cast at the market-rate benchmark (with benefits + payroll tax). The lender / board view of true operating cost.
Min DSCR: 30.65x · Min ending cash: \$2,272,877 · Runway: 60.0 mo · Break-even: Year 1
Year-1 net income vs base: -\$13,265

Founder Compensation

Per-year founder pay shown two ways: as planned (what the founder draws) and at market rate (what a comparable hire would cost). The lender adjustment is the gap underwriters apply to staffing cost and DSCR.

Line	Y1	Y2	Y3	Y4	Y5	
As planned (reported)	\$110,000	\$113,300	\$116,699	\$120,200	\$123,806	
Fully-loaded (incl. benefits + payroll tax)	\$145,915	\$150,292	\$154,801	\$159,445	\$164,229	
Market rate (normalized)	\$120,000	\$155,000	\$159,000	\$202,000	\$208,000	
Fully-loaded (incl. benefits + payroll tax)	\$159,180	\$205,608	\$210,914	\$267,953	\$275,912	\$
Lender adjustment (market - planned)	\$13,265	\$55,315	\$56,112	\$108,508	\$111,683	

Note: Founder is paying themselves below market rate ("sweat equity"). Lenders and boards underwrite to the market-rate line; the adjustment shows the gap.